

Indian UPS and Inverter Industry Growing Slowly but Steadily

The UPS and inverter industry in India is expected to grow slowly but steadily. It has some interesting technology trends in its pipeline too. In this report, we explore what is exactly driving this industry, new market and technological trends, challenges faced in India and future expectations with respect to industrial and small office/home office use

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Due to shortage of power in the country, back-up power system market is undoubtedly growing with newer technologies and methodologies being incorporated and implemented. Indian UPS market is a steadily growing market with both Indian and multinational manufacturers contending for a major chunk of market share. The Indian inverter market comprises several organised and unorganised players jostling for space. Let us look into major driving factors for this industry.

What is driving the UPS and inverter industry?

All industry experts unanimously believe that a major factor driving growth for inverters and UPS in industrial and private sectors is a need for uninterrupted power supply to run basic infrastructure. The widening gap between demand and supply of electricity in India is a key factor driving growth in this market.

Statistically speaking, George Mathew, research analyst, Netscribes shares, "With an 8.7 per cent average energy deficit and a 9 per cent peak deficit in 2012-13, the demand for power backup solutions is considerably increasing. This is particularly true for South India which faced a shortage of 7.2GW in 2012-13."

Inverter is basically a backup power device whereas UPS is used for backup power as well as power conditioning. Talking about UPS industry, Anindya Das, industry manager, En-



ergy & Power Systems Practice, Frost & Sullivan informs, "In the process and manufacturing industries, there are critical nature of processes carried out which cannot afford a millisecond of power disruption. This is one sector where UPS really fits in and which is driving growth in the UPS sector."

Lack of an efficient power grid. India does not have a grid that is efficient or sufficient enough for its people. Not only is there a lack of power compared to what is required, the power that we do receive is not efficient power and it thus incurs huge losses.

Sameer R. Sanghvi, managing director, Barr Electronics says, "If these losses were to be rectified, there would be a huge surge in the percentage of power available to us. Insufficient capacity and inefficiency of grid for distribution are factors that are driving our UPS and inverter industry today."

Power quality and reliability has been (and remains) a concerning issue

until today in India. From industrial and commercial sectors, the power requirement has increased, and this demand and supply gap is forcing establishments to opt for inverters and UPS systems to address this requirement.

Vikas Chola, MCU application manager-North India, Texas Instruments (India) informs, "Furthermore, to maintain technology, inverters and UPS have become an integral part to address power fluctuations

and prevent wear and tear to expensive electronics and industrial equipment."

Change in rural attitude. Apart from increased purchasing power of Indian households, another reason fuelling growing popularity of this sector is a change in attitude of rural consumers. "A comparative index indicates that rural consumers who would previously easily withstand a 7-8-hour-long power cut are no longer willing to withstand power cuts of more than 4-5 hours. This change in attitude has opened up the rural markets as a thriving prospective market for power backup systems," notes Mathew.

Additionally, these devices support users in exercising control over various factors including parameters such as power factor correction and load balancing. T. Anand, principal consultant, Knewron says, "Online (or inline) inverters are first choice as compared to offline inverters as they could help